

BACKGROUND

I. The Defendant's Background

Zarrab was born in Iran, moved to Turkiye at a young age, and attended school in Dubai. Zarrab was married to Ebru Gundes Sarraf, a Turkish performer, until approximately 2021, and they have a child together.

Zarrab worked in his father's Dubai-based currency exchange business, Al Nafees Exchange, when he was younger. Zarrab later established and operated Turkish and Emirati companies involved in, among other things, currency exchange and money remittance, precious metal exports, shipping, furniture manufacture, and construction.

II. The Defendant's Criminal Conduct

Agents and prosecutors have held numerous proffers and meetings with Zarrab since he first began meeting with the Government. During these sessions, Zarrab admitted to the full extent of his prior criminal history, as was required by his cooperation agreement with the Government. The description below is based on the Government's independent investigation and Zarrab's proffer admissions.

A. Money Laundering and Sanctions Evasion for Iranian Customers

In approximately 2010, Zarrab began conducting sanctions-evading and money-laundering transactions for Iranian clients through his currency exchange businesses. (PSR ¶ 29; Tr. 272-78.) Zarrab opened accounts at a Turkish bank, Aktif Bank for this business. Zarrab's relationship with Aktif Bank was facilitated by Egemen Bagis, who at the time was Turkiye's European Union ("EU") Minister. (Tr. 277.) Zarrab used these accounts, opened in the name of a straw owner, to operate a *hawala* system whereby Iranian customers could pay Zarrab in Iran and Zarrab would make funds available to the Iranian customer in Turkiye, thereby concealing that the funds

originated from Iran and were controlled by an Iranian customer. Zarrab laundered Iranian customer funds into various currencies, including U.S. dollars.

Zarrab expanded his business so that clients included Iranian banks, typically operating through wholly owned currency exchange businesses, such as Bank Mellat's Mellat Exchange.¹ Zarrab also executed international payment instructions on behalf of Bank Mellat and other Iranian clients, using a network of Turkish corporate entities that he owned and controlled or otherwise had access to through business associates. (Tr. 286-90.) These international payments included U.S. dollar-denominated transfers that were processed through the U.S. financial system. The method of *hawala* transfers and front companies concealed from international banks the fact that the money transfers were of Iranian origin and were on behalf of OFAC-sanctioned entities.

Zarrab sought to further expand his business by offering his services to the Central Bank of Iran ("CBI"). Zarrab executed currency exchange transactions in Iranian toman for CBI, including transactions to help CBI manipulate the value of the toman to meet certain currency exchange rate targets. CBI ended their business relationship after a period of time. Zarrab attempted to revive his business with CBI by sending letters to the head of the central bank and to Mahmoud Ahmedinejad, the president of Iran at the time, pledging his commitment to Iran's policy of "Economic Jihad," or the "Resistance Economy"—essentially, the Government of Iran's institutional policies of economic sanctions evasion. Zarrab's effort was unsuccessful, however. (Tr. 278-85.)

¹ Bank Mellat is an Iranian state-owned bank that was designated as a Specially Designated National ("SDN") pursuant to the Iranian Transactions and Sanctions Regulations ("ITSR"), 31 C.F.R. Part 560; the Iranian Financial Sanctions Regulations ("IFSR"), 31 C.F.R. Part 561, and the Weapons of Mass Destruction Proliferators Sanctions Regulations ("WMD Sanctions"), 31 C.F.R. Part 544.